

SENATE BILL 881

By Reeves

AN ACT to amend Tennessee Code Annotated, Title 56,
relative to pharmacy benefits managers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-7-3110, is amended by adding the following at the end of the section immediately preceding the period:

, subject to § 56-2-305(c)(7)

SECTION 2. Tennessee Code Annotated, Section 56-2-305(c), is amended by adding the following new subdivision:

(7) Violations made by pharmacy benefits managers as defined in § 56-7-3102.

SECTION 3. Tennessee Code Annotated, Section 56-7-3102, is amended by adding the following as new, appropriately designated subdivisions:

() "Clean claim":

(A) Means a claim received by a pharmacy benefits manager for adjudication that:

(i) Requires no further information, adjustment, or alteration by the provider of the services in order to be processed and paid by the pharmacy benefits manager; and

(ii) Has no defect or impropriety, including a lack of any required substantiating documentation or particular circumstance requiring special treatment that prevents timely payment from being made on the claim under § 56-7-3124;

(B) Includes resubmitted paper claims with previously identified deficiencies corrected; and

(C) Does not include:

(i) A duplicate claim; or

(ii) A claim submitted more than ninety (90) days after the date of service;

() "Duplicate claim" means an original claim and its duplicate, when the duplicate is filed within thirty (30) days of the original claim;

() "Pay" means that the pharmacy benefits manager must send the provider cash or a cash equivalent in full satisfaction of the allowed portion of the claim, or give the provider a credit against any outstanding balance owed by that provider to the pharmacy benefits manager. A payment occurs on the date when the cash, cash equivalent, or notice of credit is mailed or otherwise sent to the provider;

() "Submitted" means that the provider mails or otherwise sends a claim to the pharmacy benefits manager. A submission occurs on the date the claim is mailed or otherwise sent to the pharmacy benefits manager;

SECTION 4. Tennessee Code Annotated, Title 56, Chapter 7, Part 31, is amended by adding the following as a new section:

56-7-3124. Prompt payment standards.

(a) Not later than thirty (30) calendar days after the date that a pharmacy benefits manager receives a claim submitted on paper from a provider, a pharmacy benefits manager shall:

(1) For a clean claim, pay the total covered amount of the claim;

(2) Pay the portion of the claim that constitutes a clean claim and that is not in dispute and notify the provider in writing why the remaining portion of the claim will not be paid; or

(3) Notify the provider in writing of all reasons why the claim does not constitute a clean claim and will not be paid and what substantiating documentation and information is required to adjudicate the claim as a clean claim.

(b) Not later than fourteen (14) calendar days after receiving a claim by electronic submission, a pharmacy benefits manager shall:

(1) For a clean claim, pay the total covered amount of the claim;

(2) Pay the portion of the claim that constitutes a clean claim and that is not in dispute and notify the provider why the remaining portion of the claim will not be paid; or

(3) Notify the provider of the reason why the claim does not constitute a clean claim and will not be paid and what substantiating documentation or information is required to adjudicate the claim.

(c) A paper claim must not be denied upon resubmission for lack of substantiating documentation or information that has been previously provided by the healthcare provider.

(d) A pharmacy benefits manager shall timely provide contracted providers with all necessary information to properly submit a claim.

(e) A pharmacy benefits manager that does not comply with subdivision (b)(1) shall pay one percent (1%) interest per month, accruing from the day after the payment was due, on that amount of the claim that remains unpaid.

(f) **Regulatory oversight.**

(1) The commissioner shall ensure, as part of the department's ongoing regulatory oversight of pharmacy benefits managers, that pharmacy benefits managers properly process and pay claims in accordance with this section.

(2)

(A) If the commissioner finds a pharmacy benefits manager has failed during any calendar year to properly process and pay ninety-five percent (95%) of all clean claims received from all providers during that year in accordance with this section, then the commissioner may levy an aggregate penalty up to ten thousand dollars (\$10,000), if reasonable notice in writing is given of the intent to levy the penalty.

(B) If the commissioner finds a pharmacy benefits manager has failed during any calendar year to properly process and pay eighty-five percent (85%) of all clean claims received from all providers during that year in accordance with this section, then the commissioner may levy an aggregate penalty in an amount of not less than ten thousand dollars (\$10,000) nor more than one hundred thousand dollars (\$100,000), if reasonable notice in writing is given of the intent to levy the penalty.

(C) If the commissioner finds a pharmacy benefits manager has failed during any calendar year to properly process and pay sixty percent (60%) of all clean claims received from all providers during that year in accordance with this section, then the commissioner may levy an aggregate penalty in an amount of not less than one hundred thousand dollars (\$100,000) nor more than two hundred thousand dollars (\$200,000), if reasonable notice in writing is given of the intent to levy the penalty.

(D) In determining the amount of any penalty, the commissioner shall take into account whether the failure to achieve the standards in this section is due to circumstances beyond the pharmacy benefits manager's control and whether the pharmacy benefits manager has been in the business of processing claims for two (2) years or less.

(E) The pharmacy benefits manager may request an administrative hearing contesting the assessment of any administrative penalty imposed by the commissioner within thirty (30) days after receipt of the notice of the assessment.

(3) The commissioner may issue an order directing a pharmacy benefits manager or a representative of a pharmacy benefits manager to cease and desist from engaging in any act or practice in violation of this section. Within fifteen (15) days after service of the cease and desist order, the respondent may request a hearing on the question of whether acts or practices in violation of this section have occurred.

(4) All hearings under this part must be conducted pursuant to the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(5) In the case of any violations of this section, if the commissioner elects not to issue a cease and desist order, or in the event of noncompliance with a cease and desist order issued by the commissioner, the commissioner may institute a proceeding to obtain injunctive or other appropriate relief in the chancery court of Davidson County.

(6) Examinations to determine compliance with this section may be conducted by the commissioner's staff. The commissioner may, if necessary, contract with qualified, impartial outside sources to assist in examinations to

determine compliance with this section. The expenses of the examinations must be assessed against pharmacy benefits managers in accordance with § 56-32-115(e). For other pharmacy benefits managers, the commissioner shall bill the expenses of the examinations to those entities in accordance with § 56-1-413.

(g) Rules.

The commissioner shall adopt rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, to effectuate compliance with this section.

SECTION 5. Tennessee Code Annotated, Section 56-7-3206(c)(3)(A), is amended by adding the following new subdivision:

(vii) Apply the findings from the appeal as to the rate of the reimbursement and actual cost for the particular drug or medical product or device to all remaining refills on the issued prescription drug or medical product or device, if the reimbursement aligns with the appeal.

SECTION 6. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 7. This act takes effect upon becoming a law, the public welfare requiring it.